Cambridge Assessment International Education

1724183360

Cambridge International AS & A Level

ECONOMICS 9708/P1M

Paper 1 AS Level Multiple Choice

PAPER 1 (PREDICTED) - MODERATE

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has 9 pages. Any blank pages are indicated.

1 A student earns \$15 per hour in part-time work. She takes 4 hours off work to attend a concert. The concert ticket costs \$30.

What is the opportunity cost of attending the concert?

A \$30 **B** \$60 **C** \$90 **D** \$120

2 A farming region has moved from small-scale manual cultivation to large-scale mechanised production using advanced machinery and irrigation systems.

How is this change most likely to have affected the relative use of factors of production?

	increased relative use	decreased relative use
A	capital	labour
B	labour	capital
C	land	enterprise
D	enterprise	land

3 Which item would be classified as capital?

A a commercial fishing boat
B an oil reserve beneath the ground
C a farmer's fertile land
D an employee's labour hours

4 Which situation best illustrates the economic problem of scarcity?

A a government bans the importation of rice
B a firm produces more output than it can sell
C households have unlimited wants but limited resources
D a consumer chooses bread instead of cake

5 An economy is currently operating at a point inside its production possibility curve (PPC). It later moves to a point on the curve without any change in its resources or technology.

What best explains this change?

A an increase in the size of the workforce
B an improvement in the quality of capital goods
C a more efficient use of existing resources
D the discovery of new natural resources

6 Which factor is most likely to cause a rightward shift of the supply curve for wheat?

A an increase in the price of wheat

B a rise in the price of fertiliser

C a government subsidy paid to wheat farmers

D an indirect tax imposed on wheat

7 The price of coffee falls by 10% and the quantity demanded rises by 20%.

Which statement best describes the demand for coffee?

A It is income-elastic.

B It has inelastic demand.

C It has elastic demand.

D It has unitary elasticity.

8 Good X and good Y are complements. The price of good X rises.

What is the most likely effect on the market for good Y?

A The demand curve for Y shifts left and the equilibrium price of Y falls.

B The demand curve for Y shifts right and the equilibrium price of Y rises.

C The supply curve for Y shifts left and the equilibrium price of Y rises.

D The supply curve for Y shifts right and the equilibrium price of Y falls.

9 On a standard demand and supply diagram, where is consumer surplus represented?

A below the demand curve and above the equilibrium price

B below the equilibrium price and above the supply curve

C above the demand curve and below the equilibrium price

D above the supply curve and below the demand curve

10 The cross-elasticity of demand between two goods is +2.5.

What does this indicate?

A The goods are strong complements.

B The goods are weak complements.

C The goods are strong substitutes.

D The goods are weak substitutes.

11 A government introduces a subsidy to producers of electric vehicles.

What is the most likely effect on the market for electric vehicles?

A The supply curve shifts left; price rises; quantity falls.

B The supply curve shifts right; price falls; quantity rises.

C The demand curve shifts right; price rises; quantity rises.

D The demand curve shifts left; price falls; quantity falls.

12 Which characteristic best explains why street lighting is typically provided by governments?

A It is a merit good with positive externalities.

B It generates harmful negative externalities.

C It is non-excludable and non-rival.

D It has a very high income elasticity of demand.

13 Which policy is most effective in reducing consumption of sugary drinks?

A an indirect tax on sugary drinks

B a subsidy to sugary drinks producers

C a maximum price set above the market price

D a minimum price set below the market price

14 Which of these is a normative statement?

A Unemployment rose by 2% during the past year.

B The government should reduce income tax.

C Inflation was 3% last quarter.

D Real GDP grew by 1.5% in the last year.

15 An economy has the following data ($ billions): consumption = 200; investment = 50; government spending = 80; exports = 70; imports = 60.

What is its GDP calculated by the expenditure method?

A $340bn **B** $360bn **C** $400bn **D** $460bn

16 Which is included in GDP at market prices but not in GDP at factor cost?

A wages and salaries

B indirect taxes minus subsidies

C profits earned by firms

D household consumption expenditure

17 A factory worker loses his job when his firm replaces his role with robots. He is unable to find new work because his skills are no longer in demand.

Which type of unemployment is this?

A cyclical **B** frictional **C** seasonal **D** structural

18 Which change is most likely to shift a country's aggregate demand curve to the right?

A an increase in interest rates

B a rise in income tax

C an increase in government spending

D an appreciation of the exchange rate

19 When the general price level falls, aggregate demand rises partly because the real value of money balances held by households rises.

What is this effect known as?

A the interest rate effect

B the real balance (wealth) effect

C the international trade effect

D the substitution effect

20 Which action would be considered contractionary monetary policy?

A reducing the base interest rate

B quantitative easing

C the central bank selling government bonds

D lowering commercial bank reserve requirements

21 A government has run a budget deficit for five consecutive years.

Which consequence is most likely?

A an increase in the national debt

B a fall in the money supply

C an appreciation of the currency

D a reduction in income tax rates

22 Which is most likely to cause cost-push inflation?

A an increase in consumer confidence

B a sharp rise in world oil prices

C an increase in government spending

D a rise in exports

23 Which policy is most appropriate for reducing demand-pull inflation?

A cutting interest rates
B increasing government spending
C raising income tax rates
D reducing direct taxes

24 A country's currency depreciates on the foreign exchange market.

What is the most likely immediate effect?

A Exports become more expensive in foreign currency.
B Imports become cheaper in domestic currency.
C Exports become cheaper in foreign currency.
D The terms of trade improve.

25 Which is an example of a tariff?

A a limit on the quantity of goods that can be imported
B a tax imposed on imported goods
C a payment given to domestic producers
D a requirement for licensing of imported goods

26 According to the theory of comparative advantage, a country should specialise in producing goods in which it has:

A the lowest absolute cost of production
B the lowest opportunity cost of production
C the highest market selling price
D the greatest historical experience

27 A country's export price index rose from 100 to 110 while its import price index rose from 100 to 105.

What happened to its terms of trade?

A improved by approximately 4.8%
B improved by 5%
C worsened by approximately 4.8%
D worsened by 5%

28 Which is most likely to cause a country's currency to appreciate under a floating exchange rate system?

A a fall in domestic interest rates

B a rise in the country's exports

C a rise in the domestic inflation rate

D a rise in imports

29 A country records the following data for one month ($m):
exports of goods = 50; imports of goods = 60; services credit = 20; services debit = 15; primary income net = -3; secondary income net = -2.

What is the current account balance?

A a deficit of $10m

B a deficit of $5m

C a surplus of $5m

D a surplus of $10m

30 Which is an argument against the use of import tariffs?

A They can protect infant industries.

B They may cause retaliation from trading partners.

C They raise government tax revenue.

D They help to correct a current account deficit.

BLANK PAGE

BLANK PAGE